

become ossified and bureaucratic out of a misplaced desire to become “professional.”

Having no system at all was not an option for IMVU and is not an option for you. There are so many ways for a startup to fail. I’ve lived through the overarchitecture failure, in which attempting to prevent all the various kinds of problems that could occur wound up delaying the company from putting out any product. I’ve seen companies fail the other way from the so-called Friendster effect, suffering a high-profile technical failure just when customer adoption is going wild. As a department executive, this outcome is worst of all, because the failure is both high-profile and attributable to a single function or department—yours. Not only will the company fail, it will be your fault.

Most of the advice I’ve heard on this topic has suggested a kind of split-the-difference approach (as in, “engage in a little planning, but not too much”). The problem with this willy-nilly approach is that it’s hard to give any rationale for why we should anticipate one particular problem but ignore another. It can feel like the boss is being capricious or arbitrary, and that feeds the common feeling that management’s decisions conceal an ulterior motive.

For those being managed this way, their incentives are clear. If the boss tends to split the difference, the best way to influence the boss and get what you want is to take the most extreme position possible. For example, if one group is advocating for an extremely lengthy release cycle, say, an annual new product introduction, you might choose to argue for an equally extremely short release cycle (perhaps weekly or even daily), knowing that the two opinions will be averaged out. Then, when the difference is split, you’re likely to get an outcome closer to what you actually wanted in the first place. Unfortunately, this kind of arms race escalates. Rivals in another camp are likely to do the same thing. Over time, everyone will take the most polarized positions possible, which makes splitting the difference ever more difficult and ever less successful. Managers have to take responsibility for knowingly or inadvertently creating such incentives. Although it was not their intention to reward extreme polarization, that’s exactly what they are doing.